UNITED STATES BANKRUPTCY COURT
WESTERN DISTRICT OF NORTH CAROLINA
CHARLOTTE DIVISION

In re: GCC-CHASE, LLC, Debtor.	Case No. 15-31901-LTB Chapter 11

PROVIDENCE REAL ESTATE VENTURE, LLC, Plaintiff, v. GCC-CHASE, LLC; GCC-COURTYARD, LLC; GCC-LANDINGS, LLC; GCC-SHARON RIDGE, LLC; GREAT CIRCLE CAPITAL, LLC; CHRISTOPHER NEEDHAM; GEORGE W. COURLAS; and JAMES M. THORBURN. Defendants.	Adv. Proc. No. 16-_____-LTB

ADVERSARY COMPLAINT FOR DECLARATORY JUDGMENT AND INJUNCTIVE RELIEF

Plaintiff, PROVIDENCE REAL ESTATE VENTURE, LLC ("Providence"), by and through its undersigned counsel, hereby sues Defendants, GCC-CHASE, LLC, GCC-COURTYARD, LLC, GCC-LANDINGS, LLC, GCC-SHARON RIDGE, LLC, GREAT CIRCLE CAPITAL, LLC, CHRISTOPHER NEEDHAM, GEORGE COURLAS, and JAMES THORBURN, and alleges as follows:

PARTIES, JURISDICTION AND VENUE

1. Providence is a Florida limited liability company with its principal place of business in Orlando, Florida.

2. GCC-Chase, LLC ("GCC-Chase"), a North Carolina limited liability company, purportedly filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code on December 1, 2015, Case No. 15-31901-LTB.

3. GCC-Courtyard, LLC ("GCC-Courtyard"), a North Carolina limited liability company, purportedly filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code on December 1, 2015, Case No. 15-31902-LTB.

4. GCC-Landings, LLC ("GCC-Landings"), a North Carolina limited liability company, purportedly filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code on December 1, 2015, Case No. 15-31903-LTB.

5. GCC-Sharon Ridge, LLC ("GCC-Sharon Ridge"), a North Carolina limited liability company, purportedly filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code on December 1, 2015, Case No. 15-31904-LTB.

6. Collectively, GCC-Chase, GCC-Courtyard, GCC-Landings, and GCC-Sharon Ridge shall be referred to herein as the "GCC Entities" or the "Putative Debtors."

7. GCC-Chase is a single purpose entity whose sole purpose is ownership and management of a 132-unit apartment complex located at 2728 Commonwealth Ave., Charlotte, North Carolina 28205.

8. GCC-Courtyard is a single purpose entity whose sole purpose is ownership and management of a 54-unit apartment complex located at 5312 Montague St., Charlotte, North Carolina 28205.

9. GCC-Landings is a single purpose entity whose sole purpose is ownership and management of a 125-unit apartment complex located at 711 Farmhurst Drive, Charlotte, North Carolina, 28217.

10. GCC-Sharon Ridge is a single purpose entity whose sole purpose is ownership and management of a 75-unit apartment complex located at 1937 Sharon Road West, Charlotte, North Carolina 28210.

11. Collectively, the properties owned by each of the GCC Entities shall be referred to herein as the "GCC Properties."

12. Defendant, Great Circle Capital, LLC ("Great Circle"), is a North Carolina limited liability company with its principal place of business in Indian Trail, North Carolina. At the time of the underlying transaction described herein, Great Circle represented that it was the 100% owner and manager of the GCC Entities, and each of the GCC Entities list Great Circle as their 100% owner and manager in their Statements of Financial Affairs.

13. Defendant, Christopher Needham ("Needham"), is an individual resident of the State of North Carolina.

14. Defendant, George Courlas ("Courlas"), is an individual resident of Washington.

15. Defendant, James Thorburn ("Thorburn"), is an individual resident of Nebraska.

16. This Court has jurisdiction pursuant to 28 U.S.C. §§157 and 1334.

17. Venue is proper pursuant to 28 U.S.C. § 1409.

18. This adversary proceeding arises out of and is related to GCC Entities' bankruptcy cases under Title 11, and therefore this Court has jurisdiction pursuant to 28 U.S.C. §1334.

19. This Court has personal jurisdiction over the Defendants pursuant to Rule 7004(f) of the Federal Rules of Bankruptcy Procedure.

20. The causes of action set forth herein involve the administration of the Putative Debtors' bankruptcy estates pursuant to 28 U.S.C. 157(b)(2)(A) and the determination of the equity security holder relationship pursuant to 28 U.S.C. 157(b)(2)(O), and therefore constitute core proceedings.

[Paragraphs 21 through 56 are omitted from this transcription (General Allegations, about 9 pages of the exemplar).]

COUNT I

DECLARATORY JUDGMENT

57. Providence hereby incorporates and realleges paragraphs 1 through 56 as if fully restated herein.

58. This is an action for declaratory relief against the Defendants pursuant to 28 U.S.C. §§2201 and 2202, 11 U.S.C. §§1105, 365, 506, and 541, Rule 57 of the Federal Rules of Civil Procedure, and Rule 7001(9) of the Federal Rules of Bankruptcy Procedure.

59. There is a bona fide, actual, present practical need for a declaration regarding the ownership and control of the GCC Entities and Great Circle.

60. Pursuant to the Purchase Agreement, Providence is the 75% owner of the GCC Entities, and thereafter became the Manager of Great Circle and the GCC Entities.

61. Any party taking or directing action on behalf of the GCC Entities has done so without the consent of Providence and without any actual corporate authority, and such actions are void ab initio.

62. Alternatively, pursuant to the Assignment, Providence is the 75% owner of Great Circle, the Manager of the GCC Entities. Any party who has taken action or directed on behalf of Great Circle as Manager of the GCC Entities, has done so without the consent of Providence and without actual corporate authority, and such actions are void ab initio.

63. Nevertheless, Courlas, Needham, and others who have taken control over the operations of Great Circle, the GCC Entities, and the GCC Properties, claim the Purchase Agreement is somehow “null and void” or was “aborted.”

64. An actual controversy exists for which necessary and proper relief may be granted by declaratory judgment.

65. This declaration requested herein deals with a present, ascertained or ascertainable state of facts, or a present controversy as to a state of facts.

66. Providence has a present bona fide need for a declaration as to its rights under the Purchase Agreement, Assignment, and other related documents, and the right to control the GCC Entities' actions in these bankruptcy cases, including prosecuting these Chapter 11 cases, are dependent upon such a declaration.

67. The GCC Entities and Great Circle have, or reasonably may have, an actual, present, adverse and antagonistic interest in this Court's determination that Providence owns and/or controls Great Circle and the GCC Entities.

68. There are no other parties known to have an interest in this determination other than the parties to this proceeding.

69. The antagonistic and adverse interest of all is before this Court by proper process.

70. The declaratory relief sought would not amount to the giving of legal advice by this Court, nor would it answer questions propounded from curiosity.

71. All conditions precedent, to initiating and maintaining this proceeding, have been performed, have occurred, or have been waived.

WHEREFORE, Plaintiff respectfully requests that this Court enter judgment in its favor and against Defendants (i) declaring that Providence is the majority owner and party in control of the GCC Entities; (ii) declaring that, at a minimum, Providence is the majority owner of Great Circle, who in turn is the Manager of the GCC Entities, thereby entitling Providence to control over the GCC Entities; (iii) awarding attorney fees and costs to Providence in connection with this proceeding pursuant to the Purchase Agreement; and (iv) granting such other and further relief as is just and appropriate.

COUNT II

INJUNCTIVE RELIEF

72. Providence hereby incorporates and realleges paragraphs 1 through 56 as if fully restated herein.

73. This is an action for injunctive relief against Defendants, Courlas, Needham, and Thorburn.

74. Providence performed its obligations under the Purchase Agreement by, among other things, paying a $200,000 deposit, making the additional $900,000 payment at closing, and assuming control and management of Great Circle, the GCC Entities, and the GCC Properties.

75. Providence also tendered payment of the remaining $1,100,000 due under the Purchase Agreement, but that payment was rejected in conjunction with the attempts by Courlas and Thorburn to renegotiate the terms of the Purchase Agreement.

76. Providence obtained legal authority, ownership and possession of the GCC Properties by virtue of its performance under the Purchase Agreement.

77. Needham, Courlas and Thorburn, as well as entities under their ownership and control, had direct knowledge of the transfer of rights to Providence, and consented to such transfer, pursuant to the Purchase Agreement.

78. Nevertheless, Needham, Courlas, and Thorburn, or entities under their ownership and control, continue to interfere with the ownership and management rights of Providence and those acting at the direction of Providence, including prosecution of the Bankruptcy Cases, for the personal self-interest of Courlas and Thorburn, among others.

79. Providence has no adequate remedy at law if the Defendants are not temporarily and permanently enjoined from engaging in the conduct set forth herein.

80. Providence risks suffering irreparable harm if Defendants' do not cease their interference in Providence's management rights. Continued prosecution of the Bankruptcy Cases at the direction of Courlas and Thorburn, for their own self-interest and in the face of the Defendants' retention of the benefits of the Purchase Agreement, but rejection of its obligations, will result in harm to Providence and creditors, including, as proposed in the plan of reorganization, the transfer of valuable equity in GCC-Chase and GCC-Courtyard for inadequate consideration.

81. The threatened injury to Providence outweighs any potential damages the requested relief may cause the Defendants, if any, and awarding injunctive relief in this case will not adversely affect the public interest.

82. Plaintiff is therefore entitled to a preliminary injunction requiring Defendants, and any one acting under their direction or control, to cease interference with Providence's legal right to manage Great Circle, the GCC Entities, and the GCC Properties, including cessation of all actions on behalf of the Putative Debtors in prosecuting the Bankruptcy Cases.

83. Plaintiff is entitled to a permanent injunction, upon resolution on the merits, requiring the Defendants, and any one acting under their direction or control, to cease interference with Providence's legal right to manage the Great Circle, the GCC Entities, and the GCC Properties, including cessation of all actions on behalf of the Putative Debtors in prosecuting the Bankruptcy Cases.

84. Defendants should further be required to execute and deliver such documents as are necessary to effectuate the intent of the parties and satisfy the Defendant's obligations under the Purchase Agreement.

WHEREFORE, Plaintiff respectfully requests that this Court enter judgment in its favor and against Defendants (i) enjoining all actions by the Defendants that would interfere with Providence's legal right to manage Great Circle, the GCC Entities, and the GCC Properties, including cessation of all actions on behalf of the Putative Debtors in prosecuting the Bankruptcy Cases for the Defendants' self-interest; (ii) awarding attorney fees and costs to Providence in connection with this proceeding pursuant to the Purchase Agreement; and (iv) granting such other and further relief as is just and appropriate.

Dated: May 4, 2016

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